

ALPHA FIRE SERVICES PLC



Interim Financial Report
Period Ended 30 June 2023

*DECADES OF EXCELLENCE IN FIRE
FIGHTING SINCE 1989*



ALPHA FIRE SERVICES PLC
STATEMENT OF COMPREHENSIVE INCOME

For the three months ended 30 June,

	2023	2022
	<u>Rs.</u>	<u>Rs.</u>
Revenue	80,025,560	64,107,152
Cost of sales	(52,360,017)	(49,389,177)
Gross profit	<u>27,665,543</u>	<u>14,717,975</u>
Administrative expenses	(12,083,367)	(8,141,385)
Selling and distribution expenses	(2,763,719)	(3,210,246)
Profit from operations	<u>12,818,458</u>	<u>3,366,344</u>
Finance income	636,495	318,384
Finance expenses	(3,940,642)	(1,613,868)
Net finance income	(3,304,147)	(1,295,484)
Profit before taxation	<u>9,514,311</u>	<u>2,070,859</u>
Income tax expenses	(2,816,104)	-
Profit after taxation	<u>6,698,207</u>	<u>2,070,859</u>
Other comprehensive income		
Total comprehensive income	<u><u>6,698,207</u></u>	<u><u>2,070,859</u></u>
Earning per share (Rs.)	0.88	0.75

ALPHA FIRE SERVICES PLC
STATEMENT OF FINANCIAL POSITION

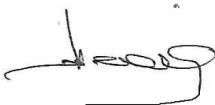
	30 June 2023	31 March 2023
	<u>Rs.</u>	<u>Rs.</u>
Assets		
Non-current assets		
Property, plant & equipment	59,334,446	60,449,600
Term deposits	29,833,608	29,086,992
Total non-current assets	89,168,054	89,536,592
Current assets		
Inventories	87,189,129	76,309,597
Trade and other receivables	61,465,869	78,893,320
Cash margin account	3,082,470	4,140,451
Cash and cash equivalents	31,200,420	6,742,585
Total current assets	182,937,888	166,085,953
Total assets	272,105,942	255,622,545
Equity and liabilities		
Equity		
Stated capital	76,429,460	25,569,560
Revaluation reserve	26,335,143	26,335,143
Retained earnings	26,717,652	20,019,445
Total equity	129,482,255	71,924,148
Non-current liabilities		
Retirement benefits obligation	3,343,750	3,553,750
Bank borrowings	9,287,417	10,827,583
Deferred tax liabilities	12,072,374	12,072,374
Total non-current liabilities	24,703,541	26,453,708
Current Liabilities		
Lease liabilities	130,318	409,403
Bank borrowings	16,574,682	19,833,341
Amount due to related parties	15,202,968	12,598,136
Loan from related parties	2,700,000	10,000,000
Short term bank borrowings	5,000,000	29,840,616
Trade and other payables	50,879,080	57,749,680
Income tax payable	5,414,621	2,598,503
Bank overdrafts	22,018,476	24,215,011
Total current liabilities	117,920,146	157,244,691
Total liabilities	142,623,687	183,698,398
Total equity and liabilities	272,105,942	255,622,545
Net Assets Value Per Share	17.06	26.06

I certify that the above Financial Statements comply with the requirements of the Companies Act No. 7 of 2007.



Head of Finance

The Board of Directors is responsible for the preparation and presentation of these Financial Statements.
 Approved and signed on behalf of the Board of Directors.



Chairman

23 August 2023



Director

ALPHA FIRE SERVICES PLC
STATEMENT OF CHANGES IN EQUITY

	Stated capital <u>Rs.</u>	Revaluation reserve <u>Rs.</u>	Retained earnings <u>Rs.</u>	Total <u>Rs.</u>
Balance as at 01 April 2022	25,569,560	1,534,467	8,501,648	35,605,675
Other Comprehensive Income for the period	-	24,800,676	-	24,800,676
Total comprehensive income for the year				
Profit for the year	-	-	11,517,797	11,517,797
Balance as at 31 March 2023	25,569,560	26,335,143	20,019,445	71,924,147
Rights Issue	50,859,900	-	-	50,859,900
Total comprehensive income for the year				
Profit for the year	-	-	6,698,207	6,698,207
Balance as at 30 June 2023	76,429,460	26,335,143	26,717,652	129,482,255

ALPHA FIRE SERVICES PLC
STATEMENT OF CASH FLOWS

<i>For the three months ended 30 June,</i>		2023	2022
	Note	<u>Rs.</u>	<u>Rs.</u>
Cash flows from operating activities			
Profit before taxation		9,514,311	2,070,859
Adjustments for:			
Depreciation of property plant and equipment		1,115,154	591,286
Interest income		(636,495)	(318,384)
Loan interest		2,767,609	98,758
Operating profit before changes in working capital		12,760,579	2,442,520
Changes in working capital			
Increase/ (decrease) in inventories		(10,879,532)	(27,141,564)
(Decrease) / increase in trade and other receivables		17,427,451	6,197,509
Increase in amount due to related parties		2,604,832	(6,294,725)
Decrease in trade and other payables		(6,870,600)	23,835,624
Cash generated from / (used in) operations		15,042,730	(960,635)
Income tax paid			
Gratuity paid		(210,000)	-
Net cash flow generated from / (used in) operating activities		14,832,730	(960,635)
Cash flows from investing activities			
Acquisition of property, plant and equipment		-	(18,250)
(Investment in) /withdrawal of cash margin		1,057,981	10,000
Net cash flow used in investing activities		1,057,981	(8,250)
Cash flows from financing activities			
Received from Share Issues (Rights Issue)		50,859,900	
Long term loan paid		(4,798,825)	(2,717,335)
Short term loan (paid) / received		(24,840,616)	7,364,460
Loan interest paid		(2,767,609)	
Lease rental paid		(389,192)	(457,653)
Loan from related parties		(7,300,000)	
Net cash flow (used in)/generated from financing activities		10,763,658	4,189,471
Net changes in cash and cash equivalents during the year		26,654,370	3,220,585
Cash and cash equivalents at beginning of the year		(17,472,426)	(18,654,701)
Cash and cash equivalents at end of the year		9,181,944	(15,434,116)

ALPHA FIRE SERVICES PLC
NOTES TO THE FINANCIAL STATEMENTS
For the three months ended 30 June,

1 Basis of Preparation

The interim Financial Statements have been prepared in accordance with Sri Lanka Accounting Standard for Small and Medium-sized Entities ("SLFRS for SMEs") and the same accounting policies and methods set out in the Audited Financials Statements for the year ended 31st March 2023 and are in compliance with LKAS 34 – Interim Financial Reporting.. The presentation and classification of comparative information have been amended where relevant.

2 Contingencies

The Company does not have any other significant contingent liabilities outstanding as at the reporting date which require adjustments to or disclosure in the financial statements.

3 Events occurring after the reporting date

There were no material events occurring after the reporting date which require adjustments to or disclosures in the financial statements.

4 Rights Issue

The Company has raised the fund Rs.50.8Mn by rights issue for the said objectives of the circular. The status of the utilization of the fund for the objectives as of 30 June 2023 is listed below/

Objective as per circular	Amount Allocated by Circular	Amount Utilized	% Utilized
Working Capita; Requirement	Rs.40.8 Mn	Rs.22.8 Mn	"55%
Repayment of Debts	Rs.10 Mn	Rs.10	100%

Unutilized Fund Rs.18Mn has been placed a with short-term deposit for future utilization of said objectives.

5 Capital Expenditure

The Company has not incurred for capital expenditure for the reporting period.

6 Management Fee

The Company has made a provision for Management Fee Rs.1.8 Mn payable to M/S Amtek Engineering (Pvt) Ltd for the reporting period.

7 Transactions with Related parties

Name of Related Parties and the Relationship	Transaction	Transaction during the Period	
		30 June 2023	30 June 2022
Amtek Engineering (Pvt) Ltd -	Office Expenses		
Common Directors	Reimbursement	600,000	405,000
Mr. Sanjay Vijith Anthony Perera	Management Fee	1,800,000	1,800,000
Mr.Malindra Christopher Fernando	Loan Settled	7,300,000	-
Mr.Samud Gunasekera			
Mrs.Deanna Ryde	Rent	120,000	120,000

8 Earning per share

Earnings per share is calculated by dividing the profit attributable to the equity holders by number of ordinary shares in issue during the reporting period.

	30 June 2023	30 June 2022
Net profit attributable to equity holders (Rs.)	6,698,207	2,070,859
Number of shares in issue	7,590,000	2,760,000
Earnings Per Share (Rs.)	0.88	0.75

9 Net Assets per share

Net Assets per share is calculated by dividing the total equity by number of ordinary shares in issue during the reporting period.

	30 June 2023	31 March 2023
Total Equity	129,482,255	71,924,148
Number of shares in issue	7,590,000	2,760,000
Net Assets Per Share (Rs.)	17.06	26.06

ALPHA FIRE SERVICES PLC**Shareholders Information**

The issued ordinary shares of the Company is 7,590,000

Largest 20 shareholders as of 30 June 2023

	NAME OF THE SHAREHOLDERS	NO OF SHARES	%
1	MR. S.V.A. PERERA	1,080,750	
	MR. S.V.A. PERERA	1,012,550	
	DFCC BANK PLC/MR.S.V.A.PERERA	107,800	29.00%
2	MR. M.C. FERNANDO	1,579,275	
	DFCC BANK PLC/MR.M.C.FERNANDO	2,750	20.84%
3	PEOPLE'S LEASING & FINANCE PLC/ULTRAKLEEN (PVT) LTD	1,019,814	13.44%
4	AMTEK ENGINEERING (PVT) LTD	980,957	12.92%
5	MR. A.S.I. GUNASEKERA	763,889	10.06%
6	ESTATE F.A. RYDE	676,200	8.91%
7	MR. S. BRANAVAN	100,275	1.32%
8	MR. M.P.A. COORAY	60,188	0.79%
9	MR. A.V.I. GUNAWARDENA	45,100	0.59%
10	MRS. D.G. BESTUS	30,000	0.40%
11	MR. J.R. VICTORIA	30,000	0.40%
12	DFCC BANK PLC/A. KANDASAMY	29,500	0.39%
13	TRADING PARTNERS (PVT) LTD	24,459	0.32%
14	MR. K.O.D. JAYARATNE	10,222	0.13%
15	MISS. R.A.K.M. PERERA	10,000	0.13%
16	MS. R.A. PINIDIYAARACHCHI	9,007	0.12%
17	MR. S.D. CANISIUS	5,000	0.07%
18	MR. D.A.B. DASSANAYAKE	5,000	0.07%
19	MR. R.S. DELPECHITRA	2,000	0.03%
20	MR. M.A.R. FERNANDO	2,000	0.03%
	Others	3,264	0.04%
	Total	7,590,000	100.00%

Public Holding

Public Holding - No of Shares	366,015
Public Holding as a % of Issued Share Capital	4.8%
Total No. of Shareholders representing the Public Holding as at 30th June 2023	34

Directors' Shareholding

	No of Shares
Mr. Sanjay Vijith Anthony Perera	2,201,100
Mr.Malindra Christopher Fernando	1,582,025
Mrs. Deanna Marise Ryde	Nil
Mr. Agampodi Samud Ishara Gunasekera	763,889
Mr. Kapila Liyanagamage	Nil
Mr. Ranil De Silva	Nil

Share Price

	30 June 2023
Highest Price	31.00
Lowest Price	18.30
Last Traded Price	23.70

Corporate Information

The Company Registered Office

Alpha Fire Services PLC
487/5, Old Kottawa Road,
Pannipitiya,
Sri Lanka
Tel: +94 11 508 888 / 0777 747 317
Fax: +94 112 503 392
Web: <http://alphafire.lk>

Legal Form of the Company

Incorporated in Sri Lanka on May 07, 2003 and reregistered on October 16, 2007 as a Private Limited Liability Company under the provisions of Companies Act No. 7 of 2007. The legal form of the company was changed from Limited Company to Public Listed Company under provision of the section 8 of the Companies Act No. 07 of 2007 on July 04, 2022

Company Registration Number (as a Public Company)

PQ00248999

Place of Incorporation

Colombo, Sri Lanka

Company Secretaries

Ms. F. S. Ismail
168/5, Elvitigala Mawatha,
Colombo 08,
Sri Lanka
Tel: +94 11 2695009

Auditors

M/s KPMG
(Chartered Accountants)
32A, Sir Mohamed Macan Markar Mawatha,
Colombo 03,
Sri Lanka
Tel: +94 11 5426426
Fax: +94 11 2445872

Board of Directors

Mr. Sanjay Vijith Anthony Perera	Chairman/Managing Director /Executive Non-Independent Director
Mr. Malindra Christopher Fernando	Executive Non-Independent Director
Mrs. Deanna Marise Ryde	Co-Founder/Non-Executive Non- Independent Director
Mr. Agampodi Samud Ishara Gunasekera	Executive Non-Independent Director
Mr. Kapila Liyanagamage	Independent Non-Executive Director
Mr. Ranil De Silva	Independent Non-Executive Director